

Specific Standards for Bond Investment (*Continued*)

THE RELATION OF THE VALUE OF THE PROPERTY TO THE FUNDED DEBT

In our earlier discussion (Chap. 6) we pointed out that the soundness of the typical bond investment depends upon the ability of the obligor corporation to take care of its debts, rather than upon the value of the property on which the bonds have a lien. This broad principle naturally leads directly away from the establishment of any *general* tests of bond safety based upon the value of the mortgaged assets, where this value is considered apart from the success or failure of the enterprise itself.

Stating the matter differently, we do not believe that in the case of the ordinary corporation bond—whether railroad, utility, or industrial—it would be advantageous to stipulate any minimum relationship between the value of the physical property pledged (taken at either original or reproduction cost) and the amount of the debt. In this respect we are in disagreement with statutory provisions in many states (including New York) which reflect the traditional emphasis upon property values. The New York law, for example, will not admit as eligible a gas, electric, or telephone bond, unless it is secured by property having a value $66\frac{2}{3}\%$ in excess of the bond issue. This value is presumably book value, which either may be the original dollar cost less depreciation or may be some more or less artificial value set up as a result of transfer or reappraisal.

Special Types of Obligations: 1. Equipment Obligations. It is our view that the book value of public-utility properties—and of railroads and the typical industrial plant as well—is no guidance in determining the safety of the bond issues secured thereon. There are, however, various *special* types of obligations, the safety of which is in great measure dependent